VALEFORGE · DEAL UNDERWRITING REPORT

1 E2E Test Way

Testville, OH, 44199 · Status: Offer · Generated Oct 15, 2026, 5:52 PM

VALEFORGE DEAL SCORE

89.8 / 100

🔴 PASS

Hard gate failed: Negative post-refi cash flow
Hard gate failed: DSCR below minimum threshold

Using ValeForge defaults (not yet confirmed for this deal)

Closing costs % · Vacancy % · Property management % · Selling costs %

Confirm or change them on the Edit page.

Data integrity

- Refi loan sized by LTV × ARV only — enter the lender's sizing DSCR to apply the DSCR cap.

Key numbers

Purchase	$115,000
All-in	$179,450
Base ARV	$240,000
Equity Created	$60,550
Cash Required	$87,450
Cash Left	$3,050
Capital Recycled	96.5%
DSCR	0.96
Monthly Cash Flow	−$51
Flip Profit	$46,150
Max Offer (70% of Base ARV)	$104,495

Why?

Why this deal scores well

- 34% equity creation
- 97% capital recycled
- Both Hold and Flip exits remain viable

Risks

- DSCR 0.96 — below the 1.25 target
- Negative post-refi cash flow
- ARV confidence: Medium
- Conservative scenario reduces DSCR to 0.93
- Combined stress drops DSCR to 0.92 (lender min 1.00)
- Hard gate: Negative post-refi cash flow
- Hard gate: DSCR below minimum threshold

Strategy engine — the deal chooses the strategy

BRRRR — Not viable

Capital recycled	96.5%
Cash left	$3,050
Cash released beyond equity	$0
DSCR	0.96
Cash flow / mo	−$51
CoC	-20.2%
Equity	$60,550

Post-refi cash flow ≤ 0 or DSCR below lender minimum

Hold — Viable

Cash flow / mo	$333
DSCR	1.40
CoC	4.6%
Cash invested	$87,450
Equity	$60,550

Positive cash flow on acquisition financing

Flip — Viable

Net profit	$46,150
ROI	52.8%
Margin	19.2%
Stress profit (combined)	$16,165
Time	6 months

Positive net flip profit

Hybrid — Viable

Best use of capital	Flip
Viable exits	3

Flip has the highest annual return on capital left in the deal among viable strategies

ARV scenarios & Max Offer

SCENARIO	ARV	ALL-IN	EQUITY	EQUITY / ALL-IN	ALL-IN / ARV	MAX ALL-IN
Conservative	$225,000	$179,450	$45,550	25.4%	79.8%	$157,500
Base	$240,000	$179,450	$60,550	33.7%	74.8%	$168,000
Upside	$255,000	$179,450	$75,550	42.1%	70.4%	$178,500

Target All-in / ARV 70%. Max Offer recomputes price-linked costs (closing %, points, interest) at the offer price.

Stress tests

SCENARIO	ALL-IN	EQUITY	REFI LOAN	CASH FROM REFI	CASH LEFT	DSCR	CA
Base	$179,450	$60,550	$180,000	$84,400	$3,050	0.96	−$
ARV −10%	$179,450	$36,550	$162,000	$66,760	$20,690	1.06	$7
Rent −10%	$179,450	$60,550	$180,000	$84,400	$3,050	0.83	−$
Rehab +15%	$186,875	$53,125	$180,000	$84,400	$10,475	0.96	−$
Combined stress	$186,875	$29,125	$162,000	$66,760	$28,115	0.92	−$

Score breakdown

Equity Creation 34% equity / all-in (full at 20%)	**25 / 25**
Capital Efficiency 97% capital recycled (full at 90%)	**25 / 25**
Cash Flow DSCR 0.96 (full at 1.25)	**15.3 / 20**
Exit Flexibility 3 viable exit(s)	**15 / 15**
Risk / Stress Equity at Conservative ARV > 0: 3/3 · Combined-stress DSCR ≥ lender minimum: 0/3 · Combined-stress flip profit > 0: 3/3 · Rehab complexity: 2/3 · ARV / comp confidence: 1.5/3	**9.5 / 15**
Total	**89.8 / 100**

Hard gates

No credible ARV Checklist · Cleared on checklist	Clear
Major unresolved title issue Checklist · Cleared on checklist	Clear
Uninsurable property Checklist · Cleared on checklist	Clear
Major structural problem without reliable cost Checklist · Cleared on checklist	Clear
No credible exit Computed · 3 viable exit(s)	Clear
Negative post-refi cash flow Computed · Post-refi cash flow $-616/yr	FAIL
DSCR below minimum threshold Computed · DSCR 0.96 vs lender minimum 1.00	FAIL
Deal depends entirely on appreciation Checklist · Cleared on checklist	Clear
Rehab scope cannot be reasonably estimated Checklist · Cleared on checklist	Clear

All-in (Total Project Cost)

Purchase	$115,000
Closing costs	$3,450
Rehab	$45,000
Rehab contingency	$4,500
Financing fees (points + fees)	$3,340
Acquisition interest	$5,060
Holding costs	$3,100
Other project costs	$0
Total	**$179,450**

Rental (annual, Market rent)

Gross scheduled rent	$26,400
Vacancy	−$2,112
Effective gross income	$24,288
Management	−$2,429
Maintenance	−$1,320
CapEx	−$1,320
Taxes	−$3,600
Insurance	−$1,500
HOA	$0
Utilities	$0
Other OpEx	$0
NOI	**$14,119**

Refinance (Base ARV)

Refi loan	$180,000
LTV × ARV	$180,000
DSCR cap (lender sizing DSCR)	Not entered
Sized by	LTV
Existing debt payoff	$92,000
Refi closing costs	$3,600
Other refi costs	$0
Cash available from refi	$84,400
Total cash invested	$87,450
Cash left in deal	$3,050
Annual debt service	$14,735
Annual cash flow	**−$616**

Conservative case (Conservative ARV + Conservative rent)

Equity	Cash left	DSCR	Cash flow / mo	Flip profit
$45,550	**$14,075**	**0.93**	**−$84**	**$32,050**

Comparable properties (0)

No comps yet.

Inputs

Property

Address	1 E2E Test Way
City	Testville
State	OH
ZIP	44199
Market	E2E Market
Property type	Duplex
Beds	**Unknown**
Baths	**Unknown**
Sqft	**Unknown**
Year built	**Unknown**
Lot size	**Unknown**
Current condition	**Unknown**

Purchase & acquisition costs

Asking price	**Unknown**
Offer price	**Unknown**
Purchase price	$115,000
Closing costs %	3%
Closing costs $	**Unknown**
Inspection	$0
Attorney	$0
Title	$0
Other acquisition costs	$0

Project timeline & other costs

Project months	6
Holding costs (total)	$3,100
Other project costs	$0
Additional equity	$0

Rehab

Rehab estimate	$45,000
Rehab contingency %	10%
Rehab duration	**Unknown**
Rehab complexity	Medium

Acquisition financing

Loan type	**Unknown**
LTV	80%
Interest rate	11%
Points	2%
Loan fees	$1,500
Loan term	1
Interest only?	Yes

Refinance

Refi type	**Unknown**
Refi LTV	75%
Interest rate	7.25%
Term	30
Closing costs %	2%
Other refi costs	$0
Prepayment penalty	**Unknown**
Seasoning requirement	**Unknown**
Lender minimum DSCR	1
Lender sizing DSCR	**Unknown**

Value (ARV & comps)

Conservative ARV	$225,000
Base ARV	$240,000
Upside ARV	$255,000
Number of comps	0
Average comp price	**Unknown**
Median comp price	**Unknown**
Comp distance	**Unknown**
Comp recency	**Unknown**
Renovated comps	0
Unrenovated comps	0
ARV confidence	Medium

Rental

Market rent	$2,200
Conservative rent	$2,050
Upside rent	$2,350
Vacancy %	8%
Property management %	10%
Taxes	$3,600
Insurance	$1,500
HOA	$0
Utilities (owner-paid)	$0
Maintenance %	5%
CapEx %	5%
Other OpEx	$0

Flip & Max Offer

Selling costs %	6%
Target All-in / ARV	70%

Hard-gate checklist

No credible ARV?	no
Major unresolved title issue?	no
Uninsurable property?	no
Major structural problem without reliable cost?	no
Deal depends entirely on appreciation?	no
Rehab scope cannot be reasonably estimated?	no

Notes

General notes
E2E edit: price negotiated down.